Digital Thorium *Term Sheet*

A Sovereign Production-Linked Claim on Clean Baseload Electricity · April 2026 · Abhilash Inumella & Anubhav Tiwari

INSTRUMENT

Name	Digital Thorium
Type	Sovereign production-linked claim
Closest comp.	Royalty trust / streamer
Unit of account	1 kilowatt-hour-year (kWhy)
Issuer	NTFC (statutory corporation)
Statutory basis	National Thorium Finance Act, 2027
Underlying	Thorium electricity, Indian fleet
Form	Exchange-listed fractional claim
Tenor	Perpetual / 60-year asset life
Settlement currency	INR

ISSUANCE & PRICING

Launch price	INR 20 per kWhy
Minimum ticket	INR 500
Issuance gating	Commissioned capacity only
Construction warrants	Separate class, 25–35% discount
Net pass-through	**87.5%**
Reference price	VWAP IEX + PXIL day-ahead
Smoothing	90-day moving average
Methodology change	18 months notice + grandfather
Distribution frequency	Quarterly
First settlement	T+45 days post-issuance

ECONOMICS (CENTRAL CASE)

Target real IRR	**11.2%**
Target nominal IRR	**14.5%**
Distribution yield (launch)	≈5.0%
Capital appreciation target	6–8% real
Modified duration	≈12.6 years
Macaulay duration	≈14.0 years
Capacity factor (SS)	82%
Real escalation assumption	1.5%
Reference G-sec spread	≈750 bps
Political risk premium	≈150 bps

DEDUCTION STACK (% OF GROSS)

Host state royalty	3.0%
Operator margin	8.0%
NTFC management fee	1.0% (declines to 0.5%)
Regulatory & audit	0.3%
Settlement & custody	0.1%
Net to holders	**87.5%**
Statutory deduction cap	15% of gross

VARIANTS

Base token	Full float, no floor/cap
Floored token	Floor at INR 4.0/kWh CPI-linked
Capped token	Forgo upside above INR 12/kWh real
Construction warrant	Pre-commissioning, deep discount
Derivatives layer	Futures, options (year 2+)
Retail leveraged	Prohibited first 5 years

TAX TREATMENT (PROPOSED FA 2027)

TDS (resident, indiv.)	Nil under INR 10K/yr, 10% above
TDS (HUF, non-indiv.)	10% from rupee one
Income classification	Slab rate; concessional under review
LTCG (held >24 mo)	12.5%
STCG	Slab rate
STT	0.05% sell side
NRI withholding	20%, DTAA reducible
Pension / insurance	Approved investment, concessional
FII status	Eligible, 10% cohort cap

LIQUIDITY & COLLATERAL

Year 1 bid-ask	≈200 bps, PD-quoted
Year 3 bid-ask	<50 bps target
Year 5 bid-ask	Listed bond comparable
Daily turnover target Y1	0.5% of float
Daily turnover target Y3	1.5–2% of float
Primary dealers	Panel of 8 at launch
Retail buy-back window	Quarterly, NAV less 75 bps
LAS collateral (RBI)	Day-1, 35% haircut
IRDAI treatment	Approved Cat II, 1.25× charge
SLR eligibility	Year 3+ subject to history

LOCKUPS & OWNERSHIP CAPS

Retail tranche	No lockup
Institutional anchor	12 months
Foreign sovereign	24 months
NTFC strategic reserve	60 months
Foreign ownership cap	10% per cohort, aggregate
Retail allocation target	50% of float

RISK FRAMEWORK

Construction risk (issued)	Zero (commissioning-gated)
Construction risk (warrant)	Borne by holder
Operational risk	Cohort-pooled, 8% buffer
Settlement risk	Statutory guarantee fund 5%
Sovereign backstop	Statutory, not constitutional
Political reversal protect.	200M retail + Act notice rule
Nuclear incident liability	CLND Act, holder not liable
Reinsurance	International, cohort outage

DOWNSIDE SCENARIOS (NAV IMPACT)

AI demand halves	-15% NAV trough, IRR to 9.6%
PFBR slips 4 years	No haircut, opportunity cost only
Major cohort outage 6mo	-3 to -4% NAV, recovery 18mo
Fusion shock (long-dated)	-25 to -40% LR curve, IRR to 6–7%
Mitigation across all	Real cash flow continues

AUDIT & GOVERNANCE

Statutory audit	Comptroller & Auditor General
Tokenisation audit	Big Four firm
Physical audit	AERB / IGCAR / WNA observer
Market conduct	SEBI
Disclosure	Quarterly + real-time dashboard
Parliamentary oversight	Annual report tabled
Governance committee	MoF + DAE + SEBI joint
Holder rights	No ops voting; Tribunal redress

PROGRAMME SIZING

Pilot cohort (2027)	500 MW PFBR-derived
2030 target	5 GW tokenised
2035 target	20 GW tokenised
2046 base case	**50 GW commissioned**
Steady-state stock	INR 7.2 lakh crore
Retail participation target	200 million households
Annual fiscal benefit (SS)	INR 3.0–3.5 lakh crore
Oil import substitution	$22 billion/yr at scale

This term sheet is indicative and reflects the design proposed in the companion policy report, diligence memorandum, money flow architecture, and comparative analysis. Numbers are central-case parameters. Tax treatments reflect proposed Finance Act 2027 terms negotiated in pre-launch consultations. Statutory parameters reflect the proposed National Thorium Finance Act, 2027. This is not an offering document. Final terms will be set in cohort-specific prospectuses published at issuance. · ***Companion documents:*** *Digital Thorium (policy report, 24p) · Diligence Memorandum (17p) · Money Flow Architecture (11p) · Comparative Analysis (20p) · Term Sheet (this page).*